

## Multiple Choice (10 marks)

1. In the balance of payments the trade balance
  - (a) is ignored.
  - (b) appears in the capital account.
  - (c) appears in the current account
  - (d) is included in the official reserves.
2. Lower interest rates in the United States cause the value of the dollar and exports to change in which of the following ways? VALUE OF THE DOLLAR U.S. EXPORTS
  - (a) Increasing Increasing
  - (b) Increasing Decreasing
  - (c) Decreasing Increasing
  - (d) Decreasing Unchanged
3. Long-run aggregate supply is most likely to increase as the result of
  - (a) an increase in the real interest rate
  - (b) increased investment in capital
  - (c) an increase in aggregate demand
  - (d) an increase in the unemployment rate
4. A demand curve slopes downward for an individual as the result of
  - (a) diminishing marginal utility
  - (b) diminishing marginal returns
  - (c) the Fisher effect
  - (d) diminishing returns to scale
5. If current real GDP is 5000 and *full employment real GDP is at 4000* which of the following combinations of policies is the most likely to have brought the economy to this point?
  - (a) A decrease in taxes and a lower discount rate
  - (b) An increase in government spending and an increase in taxes
  - (c) A decrease in taxes and selling bonds in an open market operation
  - (d) An increase in government spending and an increase in the discount rate

## True / False (10 marks)

*Answer True or False*

6. True or False: An increase in consumer confidence leads to a rise in both the equilibrium price level and the equilibrium quantity of output.
7. True or False: The marginal propensity to save is 0.20, suggesting that for every 100 increase in income, saving increases by 20.
8. True or False: The Phillips curve illustrates the inverse relationship between inflation and unemployment rates.
9. True or False: The condition that price equals marginal cost ( $P = MC$ ) is essential for achieving allocative efficiency in an economy.
10. True or False: A balance of payments deficit means that a country has lowered its official reserve position.

## Long Form Response (20 marks)

*Answer each question with a clear and complete explanation.*

11. Discuss how the ownership of a unique item, such as the only original signed copy of *The Wealth of Nations* by Adam Smith, can be represented by a perfectly vertical supply curve in economics.
12. Discuss how inflation at the peak of a business cycle can pose a significant threat to the macroeconomy. Analyze its effects on consumers, businesses, and overall economic stability.

*End of Paper*